

deal velocity across sectors where the time period for an average deal to be sealed increased by as much as 60-70 per cent. The time to seal a transaction now stretches to four to six months—a significant departure from 2021 when founders juggled options and closed deals over weekends. In 2023, deal volumes reduced by about 56 per cent (from 1,295 in 2021 to 569 in 2023), and deal value dwindled to one-fifth of its 2021 zenith, standing at \$7.5 billion compared to the previous \$35.8 billion, per data from Venture Intelligence. A reflection of this slowdown is the mass layoffs, with start-ups axing more than 15,000 jobs in 2023, per Layoffs.fyi, which tracks this.

FOCUS ON RESILIENCE

Amidst the ongoing market headwinds, astute investors are on the

lookout for start-ups that navigate the storm with resilience, relying on the twin engines of adaptability and profitability to thrive. “The cautious environment means we (investors) need to do thorough research, focussing on start-ups with strong basics and disruptive potential. Robust unit economics are crucial, showcasing a clear path to profitability and sustainable growth. An exceptional leadership team is non-negotiable, with a deep market understanding, a proven track record, and effective execution capabilities,” says Pratip Mazumdar, Co-founder and Partner at Inflexor Ventures, a tech-focussed VC firm.

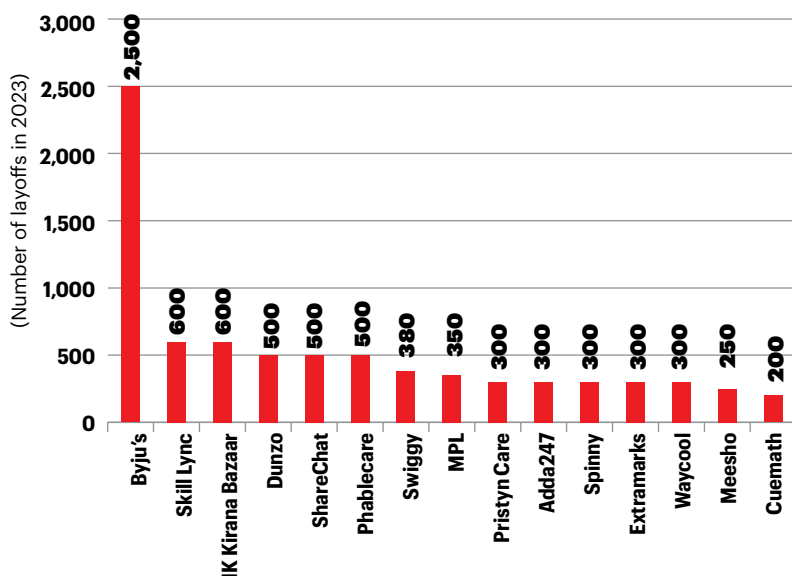
Nao Murakami, Founder & General Partner at Incubate Fund Asia, emphasises the need to strike a balance between profitability and long-term growth. He cautions against

blindly cutting costs, highlighting the risk of stifling innovation. He adds that achieving profitability should not come at the expense of ethical practices or environmental responsibility. “Embracing sustainable business models that create shared value is crucial for building trust and ensuring long-term viability,” he says, adding that the success of this shift relies on a supportive ecosystem, incentivising responsible growth and providing access to capital for sustainable ventures.

The good news is that green shoots are emerging, particularly in the later-stage funding landscape, as the substantial rounds raised by Lenskart, Udaan, Zepto, and Grey-Orange in 2023 show. “There is a massive shortage of quality companies in the later stages, those ready for IPO or wanting to raise \$100+

LAYOFFS AT TOP START-UPS

- START-UPS SLASHED 15,000 JOBS IN 2023
- BYJU'S TOPPED THE CHARTS WITH OVER 2,500 LAYOFFS, WHILE SEVERAL START-UPS SHUT SHOP



SOURCE LAYOFFS.FYI, BT RESEARCH



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CO-FOUNDER AND PARTNER,
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